

A *keeper* is a class of EOA incentivized either with a flat fee or percentage to perform an action in a DeFi protocol or other dApp. Thus, autonomous monitoring can be outsourced off chain, creating robust economies and new profit opportunities. Keeper rewards may also be structured as an auction to ensure competition and best price. Keeper auctions are very competitive because the information available in the system is almost entirely public. A side effect of direct rewards for keepers is that gas prices can inflate due to the competition for these rewards. That is, more keeper activity generates additional demand for transactions, which in turn increases the price of gas.

Fees

Fees are typically a funding mechanism for the features of the system or platform. They can be flat or percentage based, depending on the desired incentive. Fees can be imposed as a direct negative incentive or can be accrued on staked balances. Accrued fees must have an associated staked balance to ensure the user pays them. Because of the pseudonymous anonymous nature of Ethereum accounts – all that is known about an Ethereum user is their wallet balance and interactions with various contracts on Ethereum – the imposition of fees is a design challenge. If the smart contract is open to any Ethereum account, the only way to guarantee enforcement is for all debts to be backed by staked on-chain collateral which is transparent. The challenges created by anonymity